

By Shankkar Aiyar |

In any other context this would have been a regular dispute between two companies over the sanctity of a contract. The battle between brothers Mukesh and Anil Ambani where the third party is the Government of India (GOI), though, cannot be just another battle. The verdict would make history and it has. Both sides have been asked to renegotiate but there is little clarity on how or what, since ownership, pricing and tenure are already fixed. Not surprisingly, the intervention of the mother is not ruled out. On the face of it, both sides have claimed victory. Mukesh's camp claimed they don't have to supply gas at a lower price while Anil said the Supreme Court "has safeguarded the interests of over 25 lakh Reliance Natural Resources Limited (RNRL) shareholders by giving the guidelines for an expeditious finalisation of the gas supply agreement". The real victor, though, was the Government of India.

Within hours of the judgement, Petroleum Minister Murli Deora said triumphantly, "I welcome the verdict. No matter what campaign one ran against the Government, the nation is supreme." Embedded in this politically correct statement is the distillation of the verdict: the real big brother is the Government.

To appreciate the simplicity of the dispute and the magnitude of the verdict, let us consider the facts. Anil-led RNRL went to court asking it to intervene and ensure that Mukesh-led Reliance Industries Ltd (RIL) supplied the gas that was promised at the price that had been arrived at. That is, RNRL was to be supplied 28 MMSCFD of gas for 17 years at \$2.34 per unit. Mukesh, through RIL, held that he was willing to honour the commitment provided it was within the four corners of the production-sharing with the Government and the pricing determined by the Group of Ministers. Anil's argument was that RIL could, without violating the production-

Government is the BIG BROTHER

sharing contract (PSC), honour the contract at the price arrived at and that it could sell its share of the gas produced at a price it determined, as long as the Government got its share of the revenue. The problem of resolving differences over the administered price and the contracted price was a private matter.

Through months of arguments—

from July 2009 to December 2009—legal teams battled on two levels, the sanctity of the contract between the companies of the brothers and the role of the Government in production sharing and pricing. The verdict stated in unambiguous terms that "under the PSC in issue, the contractor (RIL) does not become the owner of natural gas" as enshrined in Article 297. The court



BANDEEP SINGH/www.indiatodayimages.com

WHAT THE SUPR

OWNERSHIP OF GAS

Under the PSC in issue, the contractor (RIL) does not become the owner of natural gas, and there is nothing like specified physical quantities of natural gas to be shared by the GOI and the contractor.

GAS PRICING POLICY

The EGOM decisions, regarding the utilisation of the natural gas and the price formula/basis etc. do not suffer from any legal or constitutional infirmities. They shall apply to all supplies of natural gas under the PSC. The parties are bound by the governmental policy and approvals regarding price, quantity and tenure for supply of gas.

ON THE GAS SUPPLY AGREEMENT

Gas supply is but a part of the scheme as a whole. The fact remains that RIL can supply gas to RNRL provided appropriate governmental approvals, pursuant to constitutionally permissible utilisation policies, are in place; and moreover, the commitment to supply gas in the scheme was to establish gas-based energy generating power plants. That possibility still remains. We fail to see where even that aspect of the scheme has failed to work.